

aspiration packed into it because of the high prices of urban residential real estate. Until the mid-1990s, owning a house was restricted to very few well-heeled families. This was an era where most jobs were either with the government or public sector companies. The employees stayed in the quarters offered by these companies. In that era, people typically built houses when they retired. A house was something which was built for staying, never as an investment.

Fast forward ten to fifteen years. In the opening decade of the new millennium, we saw a paradigm shift in the way retail investors started viewing residential real estate. For most of 2003–13, house prices seemed to be on steroids with prices moving up almost on a monthly basis. Along with the price rise, the other factor that led to a massive interest in this asset class was affordability. Interest rates came down significantly over these years (see [Exhibit 30](#)). Along with this, an increase in Loan to Value¹ (from 65 to 70 per cent in the 1990s to up to 95 per cent in 2004) and an increase in household income, along with tax incentives from the government, meant that buying a house was within the reach of the more affluent middle-class households.